Solvency II — Quantitative Reporting Template (QRT) Narrative Report

Document Title: Solvency II Annual Quantitative Reporting — Narrative Report
Report Reference: SOL2-2024-IBK-LIFE-QRT
Reporting Period: 1 January 2024 – 31 December 2024
Entity: IBK Life Insurance SA
Regulator: BaFin (Bundesanstalt für Finanzdienstleistungsaufsicht), Germany
Submission Deadline: 20 April 2025
Date of Report: 15 April 2025
Confidentiality: Strictly Confidential — Regulatory Submission

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1. ENTITY PROFILE

Field	Details
Entity Name	IBK Life Insurance SA
Legal Form	Société Anonyme (SA) — German branch operation
Regulator	BaFin, Germany
Solvency II Classification	Life Insurance Undertaking
License Number	BaFin-LIC-2009-0341
Reporting Currency	EUR
Actuarial Function Holder	Dr Stefan Braun, FIA

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2. SOLVENCY POSITION SUMMARY

Item	31 Dec 2024 (EUR m)	31 Dec 2023 (EUR m)	Change
Total Assets (Solvency II basis)	2,841.2	2,688.4	+5.7%
Technical Provisions (net)	2,214.6	2,109.3	+5.0%
Own Funds — Tier 1 (eligible)	524.7	498.1	+5.3%
Own Funds — Tier 2 (eligible)	45.0	40.0	+12.5%
Total Eligible Own Funds (SCR)	569.7	538.1	+5.9%
Solvency Capital Requirement (SCR)	311.4	305.2	+2.0%
Minimum Capital Requirement (MCR)	78.5	76.9	+2.1%
SCR Coverage Ratio	183%	176%	+7pp
MCR Coverage Ratio	726%	700%	+26pp

3. SCR BREAKDOWN BY MODULE

Risk Module	SCR Contribution (EUR m)
Life Underwriting Risk	142.3
Market Risk	98.7
Credit Risk (Counterparty Default)	31.2

Operational Risk	22.4
Diversification Benefit	(72.8)
Adjustment for Loss-Absorbing Capacity of Technical Provisions	(18.4)
Total SCR (after diversification)	311.4

4. TECHNICAL PROVISIONS (EUR m)

Component	31 Dec 2024	31 Dec 2023
Best Estimate Liabilities — Life	1,987.4	1,894.8
Risk Margin	72.4	68.1
Technical Provisions (gross)	2,059.8	1,962.9
Reinsurance Recoverables	(145.1)	(138.4)
Net Technical Provisions	1,914.7	1,824.5

5. INVESTMENT PORTFOLIO OVERVIEW

Asset Class	Value (EUR m)	% of Total
Government Bonds (AAA–AA)	984.2	34.6%
Corporate Bonds (IG)	756.8	26.6%
Equities	312.4	11.0%
Real Estate	198.6	7.0%

Cash & Money Market	224.1	7.9%
Other (incl. derivatives)	365.1	12.9%
Total	2,841.2	100%

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6. MATERIAL CHANGES IN 2024

1. New Business Volume: 2,847 new Term Life policies issued (EUR 1.24bn sum insured added).
2. Reinsurance: Quota Share treaty with Munich Re (Treaty TRE-2024-007) renewed at 15% cession rate. Excess of Loss cover retained.
3. Model Changes: Minor recalibration of mortality improvement factors following updated DAV 2008T table publication.
4. Own Funds: No dividend paid in 2024. Retained earnings strengthened Tier 1 capital by EUR 26.6m.
5. Regulatory Interactions: No material regulatory correspondence from BaFin in 2024 relating to solvency.

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7. ORSA CONCLUSIONS (SUMMARY)

The 2024 ORSA confirmed that IBK Life Insurance SA maintains an adequate solvency position under all stress scenarios tested, including: - Interest rate stress (+200 bps): SCR Coverage drops to 154% (above 150% appetite threshold). - Mortality shock (+15%): SCR Coverage drops to 168%. - Combined stress: SCR Coverage drops to 138% — within contingency planning threshold.

Management actions available (suspension of dividends, reinsurance activation) would restore coverage to above 155% under all scenarios.

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8. ATTESTATION

Role	Name	Date
CEO	Thomas Weber	15 April 2025

CFO	Andrea Müller	15 April 2025
Actuarial Function Holder	Dr Stefan Braun, FIA	15 April 2025
Chief Risk Officer	Klaus Hofer	15 April 2025

> ☐☐ SPECIMEN DOCUMENT — FOR DEMONSTRATION PURPOSES ONLY

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